

Activity: Cost & Price Your Own Product

Objective:

Learn how to apply costing and pricing concepts to a real or sample business.

Instructions:

Choose a Product/Service

- From your own business (if you have one) OR
- Pick a sample business (e.g., kibanda meal, hair salon service, boda ride, tailoring, small shop item).

List the Costs

- Identify Direct Costs (ingredients, materials, wages tied to production).
- Identify Indirect Costs (rent, utilities, licenses, marketing, support staff).
- Calculate Total Costs = Direct + Indirect.

Classify as Fixed vs Variable

- Mark each cost as Fixed (stays the same) or Variable (changes with production).

Set a Price

- Apply at least two pricing approaches (e.g., Cost-Plus, Competition-Based, Value-Based).
- Compare the results.

Decide on Final Price

- Explain why you chose that price (considering customers, competition, profit margin, demand).